

Journal entries in the books of --- company

Date	Particulars	Rs	Dr (Amt)	Cr (Amt)
	<u>An application</u>			
	Bank A/c Dr		xxx	
	To Share Application A/c			xxx
	(Being Share application money received)			
	Share Application A/c Dr		xxx	
	To Share Capital A/c			xxx
	To Share Allotment A/c (if)			xxx
	To Bank A/c (if)			xxx
	To First & Final Call A/c (if)			xxx
	(Being Share Application money transferred to Share Capital --- A/c)			
	<u>An allotment</u>			
	Share Allotment A/c Dr		xxx	
	Share Discount A/c Dr (if)		xxx	
	To Share Capital A/c			xxx
	To Share Premium A/c (if)			xxx
	(Being share allotment money due)			
	Bank A/c Dr (Allotment - application if)		xxx	
	Calls in arrears A/c		xxx	
	To, Calls in advance A/c			xxx
	To Share Allotment A/c			xxx
	(Being share allotment money received)			
	<u>First & Final call A/c</u>			
	First & Final call A/c Dr		xxx	
	To Share Capital A/c			xxx
	(Being First & Final Call Money due)			

Bank A/c Dr

Calls in Arrear A/c Dr

Calls in Advance A/c Dr

To First & Final calls A/c

(Being first & final call money received)

Calls in Arrear

Fail to pay
did not pay
Unable to pay
received except
- forget to pay

Allotment share
zero

Refused
Refunded
Rejected
no allotment
zero

Calls in Advance

Paid entire amt
Paid whole amt
Paid full amt
Paid except amt

xxx

xxx

xxx

xxx

Applied share	Allotted share	Gross Amt	Net Amt	Allotment	Percent	Bank
(xxx) equal to (xxx)	(xxx) equal to (xxx)	(xxx) equal to (xxx)	-	-	-	-
xxx more than (xxx)	(xxx) more than (xxx)	(xxx) more than (xxx)	(xxx)	if (xxx)	-	xxx
xxx	0	xxx	-	-	-	-

→ यदि Amount transferred गयी Allotted share x Allotment rate गयी र Net Amount कम आए है तो Allotment भा र लगी है Allotted share x Allotment rate गयी उससे Amount राकीसी पड़ी कहे तो First and final call में जाये /

Journal Entries

In the books of - - - Company

Date	Particulars	Dr (Amt)	Cr (Amt)
	Sundry Assets A/c Dr	xxx	
	Goodwill A/c Dr (if)	xxx	
	To Vendor A/c		xxx
	To Sundry liabilities A/c		xxx
	To Capital reserve A/c (if)		xxx
	(Being business purchased)		

Vender A/c Dr
 Share discount A/c Dr (if)
 To share Capital A/c
 To share premium A/c (if)
 To preference share (if)
 (being issued of share at ---)

xxx

xxx

xxx

xxx

xxx

If Dis share = no of share $\times$ (par - Dis%)

If Premium share = no of share (par + Premium%)

$$\text{No of share} = \frac{\text{Vender}}{100 - \text{Dis\%}}$$

Balance Sheet

as on

Liabilities	Amt	Assets	Amt
Share Capital	xxx	Sundry assets	
creditors	xxx	Goodwill	
Capital reserve	xxx	Bank Bal	
	xxx		

Forfeiture & re issued of share

Journal entries In the books of

Date	Particulars	Lf	Dr (Amt)	Cr (Amt)
	Share Capital A/c Dr (Arrear share x par)		xxx	
	Share premium A/c Dr (if)		xxx	
	To, share forfeiture A/c			xxx
	To calls in arrear A/c			xxx
	To share discount A/c (if)			xxx
	(Being share forfeiture issued at -)			
	Bank A/c Dr (Arrear share x p)		xxx	
	Share forfeiture A/c Dr		xxx	
	Share Dis A/c Dr (if)		xxx	
	To Share Capital A/c			xxx
	(Being share re-issued at -)			
	Share forfeiture A/c Dr (Re-share x par)		xxx	
	To, Capital Reserve A/c			xxx
	(Being share forfeiture transferred to Capital Reserve A/c)			

Notes- यदि Issued at discount है भने Re-issued मा डि. आ. दे।

2:- जुन कित्ता (call) मा calls in arrear है वही calls मा share premium है भने share forfeiture मा share premium आ. दे।

यदि Transferred money है भने तबले जहाँ calls in arrear आ. दे।

Share allotment money - Application allotment money

Calls in arrear =

Allocated share of

calls in arrear

Debtenture

Issued	Redemption	Issued entries	Redemption entries.
par	par	Bank A/C Dr To % Debtenture A/C	% Debtenture A/C Dr To Bank A/C
par	Premium	Bank A/C Dr Loss on Debtenture A/C Dr To % Debtenture A/C To Redemption premium A/C	% Debtenture A/C Dr Redemption premium A/C Dr To Bank A/C
par	Dis.	Bank A/C Dr To % Debtenture A/C	% Debtenture A/C Dr To Bank A/C To Dis on Debtenture A/C
Premium	par	Bank A/C Dr To % Debtenture A/C To Debtenture premium A/C	% Debtenture A/C Dr To Bank A/C
Premium	Premium	Bank A/C Dr Loss on Debtenture A/C Dr To % Debtenture A/C To Debtenture premium A/C To Redemption premium A/C	% Debtenture A/C Dr Redemption premium A/C Dr To Bank A/C
Premium	Discount	Bank A/C Dr To % Debtenture A/C To Debtenture premium A/C	% Debtenture A/C Dr To Bank A/C To Dis on Debtenture A/C
Dis	par	Bank A/C Dr Dis on Debtenture A/C Dr To Debtenture A/C	% Debtenture A/C Dr To Bank A/C
Dis	Premium	Bank A/C Dr Dis on Debtenture A/C Dr Loss on Debtenture A/C Dr To % Debtenture A/C To Redemption premium A/C	% Debtenture A/C Dr Redemption premium A/C Dr To Bank A/C
Dis	Dis	Bank A/C Dr Dis on Debtenture A/C Dr To % Debtenture A/C	% Debtenture A/C Dr To Bank A/C To Dis on Redemption debtenture A/C

Rule 1

Issued के लगी

Bank A/c Dr
To % Debenture A/c लेने

Step-2 : Issued लाई है। Issued पर शर केही गाने / premium
शर step-1 मा लेने मा Cr side मा Debenture premium र
Discount शर Dis on Debenture Dr side मा लेने

Step-3 : Redemption sentence लाई है प्रिमियम (premium) मा
शर Dr मा loss on Debenture र Cr मा Redemption premium
लेने र par र शर शर केही गाने,

Rule 2
Redemption के लगी

Step-1
% Debenture A/c Dr
To Bank A/c लेने

Step-2
Redemption sentences- शर शर Cr side Dis on
Debenture र premium शर Redemption premium Dr side मा
लेने /

Cash Flow Statement

Particulars	Amt	Amt
1. Cash flow from operating activities		
A. Cash collections from sales & debtors		
Net sales (sales - sales return)		XXXX
add: Decrease in Debtor/A/c Receivable/Bills Receivable	xxx	
less: Increase in " " " " " "	(xxx)	
add: Increase in provision for bad debt	xxx	
less: Decrease in provision for bad debt	(xxx)	
less: bad debt	(xxx)	
add: bad debt recovered	xxx	
less: Dis Allowed	(xxx)	XXXX
B: Cash paid to Suppliers & Inventory		
Cost of goods sold (OS + purchase - CS) (5-6)	(xxx)	
add: Increase in creditors, bills payable, note payable	xxx	
less: Decrease in " " " " " "	(xxx)	
add: decrease in Prepayment / stock	xxx	
less: Increase in Inventory / stock	(xxx)	
add: Discount Received	xxx	(xxx)
C: Cash paid to employees & other expenses		
all expenses	(xxx)	
add: increase in of expenses	xxx	
less: decrease in of expenses	(xxx)	
add: decrease in advance / prepaid expn	xxx	
less: Increase in advance / prepaid expn	(xxx)	(xxx)
Cash flow from operating activities		xxx
add: Increase in Bank overdraft / short term loan	xxx	
less: Decrease in Bank overdraft / short term loan	(xxx)	
add: Decrease in marketable securities	xxx	
less: Increase in marketable securities	(xxx)	
Net Cash flow from operating activities		xxx

2. Cash flow from Investing activities.

add: sales of fixed assets	xxx	
less: purchase of fixed assets	(xxx)	
add: sales of investment	xxx	
less: purchase of investment	(xxx)	
add: interest from investment	xxx	
add: dividend from investment	xxx	xxx

3. Cash flow from Financing activities

Issued of share capital	xxx	
Issued of share premium	xxx	
Issued of debenture	xxx	
Issued of loan	xxx	
Redemption of share capital	(xxx)	
Redemption of share premium	(xxx)	
Redemption of debenture	(xxx)	
Redemption of loan	(xxx)	
dividend paid	(xxx)	xxx
Net Change in Cash (1+2+3)		xxx
add: opening cash balance		xxx
Closing cash balance		xxx

Item	Increase	Decrease
C.A.	less	Add
C.L.	Add	Less

C.A = ~~debtors~~, bills receivable, A/c Receivable, Inventory/stock
 C.L = Creditors, Notes payable, B/LP payable, A/c payable

Cost Sheet

Particulars	Am't
opening stock of raw materials	xxx
add: purchase of raw material / raw material	xxx
add: Carriage Inward / cost of duty / Freight Charges / All purchasing expenses	xxx
less: closing stock of raw materials	(xxx)
less: Purchase Return / Return Inward	(xxx)
Cost of material consumed	xxx
add: Direct wages / direct expn / mfg. wages	xxx
add: productive wages / other chargeable wages / expn	xxx
prime cost	xxx
add: factory over head (OH) / work on.	
Indirect wages / indirect materials	xxx
factory lighting / heating / factory expn	xxx
Depn on machinery	xxx
less: sales of scrap (saye (am't))	(xxx)
factory cost incurred	xxx
add: opening stock of work-in-progress (WIP)	xxx
less: closing stock of WIP	(xxx)
factory cost / work cost	xxx
add: office & administrative overhead (OH)	
General expn / printing / stationary / insurance premium / audit fees / Director fees	xxx
cost of production	xxx
add: opening stock of finished goods (Unit rate)	xxx
less: closing stock of finished goods (unit rate)	(xxx)
cost of goods sold	xxx
add: Selling & distribution expn over head (OH)	
Carriage outward / Advertisement, commission to salesmen Depn of delivery van	xxx

Total cost / cost of sales
add: profit

xxx
xxx

Sales

xxx

Note profit on cost

profit on sales

$$\text{profit} = \text{Total cost} \times \frac{\text{given \%}}{100}$$

$$\text{profit} = \text{total cost} \times \frac{\text{given \%}}{100 - \text{given \%}}$$

Sales unit = opening stock + production unit - closing unit

यदि Question में Sales unit & production unit मात्र दिये हों होंगे

Sales > production = opening stock

Sales < production = closing stock

example = sales = 10,500 production = 9,000

10,500 > 9,000 = 1,500 opening stock & closing = 0

example = sales = 8,000, production = 12,000

8,000 < 12,000 = 4,000 closing stock, opening = 0

$$\text{rate} = \frac{\text{Cost of production}}{\text{production unit}}$$

Cost Sheet & tender sheet
Particulars

Direct materials

xxx

add: Direct wages

xxx

prime cost

xxx

add: factory OH

xxx

factory cost

xxx

add: office OH

xxx

cost of production

xxx

profit

xxx

Sales

xxx

Tender Sheet

as on
particulars

Direct materials
add: Direct wages

prime cost

add: Factory OH ($\frac{\text{cost factory OH}}{\text{cost direct wages}} \times \text{Tender wages}$)

xxx

add: Increase Factory OH ($\frac{\text{Factory OH} \times \text{increase \%}}{100}$) (if)

xxx

factory cost

xxx

add: office & selling OH ($\frac{\text{office & selling OH}}{\text{cost factory OH}} \times \text{Tender factory OH}$)

xxx

add: Increase office & selling OH ($\frac{\text{office & selling OH} \times \text{increase \%}}{100}$)

xxx

cost of production

xxx

profit

xx

Tender sheet price

xxx

Cost Reconciliation Statement

Particulars	Cost A/c	Financial A/c
i) Exp ⁿ / overhead / Loss / opening stock shown in Cost A/c	(-)	(+)
ii) Expenses / overhead / Loss / opening stock shown as financial A/c	(+)	(-)
iii) Income / gain / closing stock shown in Cost A/c	(+)	(-)
iv) Income / gain / closing stock shown in financial A/c	(-)	(+)

Note $\Rightarrow$ Expenses / Loss / OH / opening stock ખર્ચ A/C માં દે
ઓ $\Rightarrow$ A/C (-) હોય છે.

$\rightarrow$ Income / gain / closing stock ખર્ચ A/C માં દે ઓ
A/C (+) હોય છે.

$\rightarrow$ Expenses / losses / OH / opening stock ખર્ચ A/C માં over
ઓ (-) $\Rightarrow$ under છે ઓ (+) હોય છે.

$\rightarrow$ Gain / Income / closing stock ખર્ચ A/C માં ઓ
over થાય (+) $\Rightarrow$ under થાય (-) હોય છે.

final A/c
Trading A/c & Profit & Loss A/c / P/L App. A/c
for the ended -----

Dr.

Cr.

Particulars	Amt	Particulars	Amt
To, opening stock		By sales xxx	
To, purchase xxx		less: sales return/ ^{return} inward xxx	
less: purchase return/ ^{return} outward xx	xxx	By closing stock (if)	
To, wages xxx		By goods lost (if)	
Add: o/s wages xxx		By Gross Loss (if)	
less: Advance / Pre paid wages (xx)	xxx		
To Carriage Inward	xxx		
To, Com sum duty, Import duty	xxx		
To, excise duty	xxx		
To, water supply	xxx		
To, Royalty	xxx		
To, All factory charges	xxx		
To, Direct expn	xxx		
To, Gross profit (if)	xxx		
	<u>XXXX</u>		<u>XXXX</u>
To, Gross loss A/c (if)	xxx	By Gross Profit (if)	xxx
To, Salary, rent, rates, tax	xxx	By salary, rent received	xxx
To, printing & stationery	xxx	By discount, dividend received	xxx
To, Insurance premium	xxx	By transferred fees	xxx
To General expn and electricity	xxx	By Int on Investment (Int)	xxx
To, Bank charge / Legal charge	xxx	By Bad debt recovered	xxx
To, director fee	xxx	By Gain or sales of assets	xxx
To, Telephone / communication charge	xxx	By Appn on Fixed assets (AB)	

To Discount Allowed	xxx	By Sundry Income	xxx
To Discount on sales	xxx	By miscellaneous income	xxx
To, Traveling expenses	xxx	By net loss A/c	xxx
To estd. expenses	xxx		
To, office & administrative expn	xxx		
To, Selling & distribution expn	xxx		
To Advertisement	xxx		
To Carriage outward	xxx		
To Trade expn	xxx		
To, Export duty	xxx		
To sundry expn	xxx		
To, miscellaneous expn	xxx		
To, Depn on fixed assets	xxx		
To Bad debt	xxx		
To, Int on Resenture	xxx		
To, goods lost	xxx		
To, Goodwill writing off.	xxx		
To, Indirect expn	xxx		
To, Net profit	xxx		
	xxxx		xxxx
Net Loss A/c	xxx	By Net Profit A/c	xxx
To, Interim dividend/dividend paid	xxx	By P/L A/c	xxx
To, Tax paid last year	xxx	By provision for tax	xxx
To, General reserve/General fund	xxx	By Balance c/d	xxx
To Proposed dividend (A/c)	xxx	By Balance c/d	xxx
To Income tax paid	xxx	By provision for tax	xxx
To, Balance c/d	xxx	By provision for tax	xxx
	xxxx		xxxx

Trial Balance
 Income tax paid
 Provision for tax
 Liability

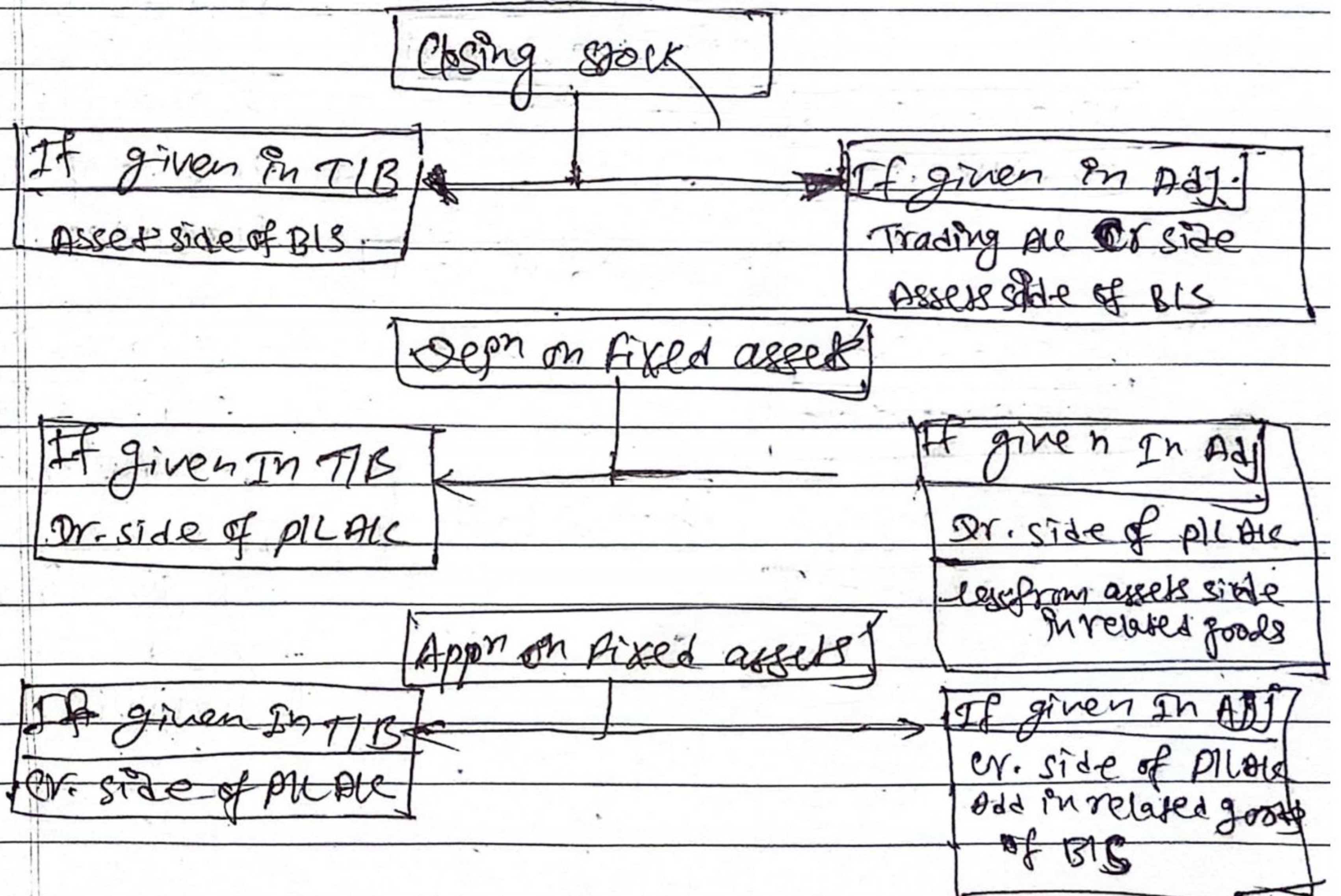
Balance Sheet

as on - - - -

Liabilities	Amt	Assets	Amt
[Share Capital]		[Fixed assets]	
equity share capital / common stock	xxx	Goodwills / copyright	xxx
loss: calls in arrears (xxx)	xxx	Trademark / Patent	xxx
pref. share capital	xxx	Plant & machinery	xxx
share forfeiture	xxx	land & building	xxx
calls in advance	xxx	Furniture / vehicles	xxx
		software	xxx
[Reserve & surplus]		[Investment]	
PL App. & C (surplus) - Dr.	xxx	Investment in share	xxx
General Reserve / Reserve fund	xxx	Investment in Debenture	xxx
Capital reserve	xxx		
share premium	xxx		
Debenture premium	xxx		
[Secured loan]		[Current assets]	
Debenture / Bank loan	xxx	Debt / A/c Receivable	xxx
Other loan / Bond	xxx	Closing stock	xxx
Long term Loan	xxx	Cash in hand / Bank	xxx
[Unsecured loan]		marketable securities	xxx
To, short term loan	xxx	bf Income	
To, fixed deposit (or)	xxx	Prepaid expn	
[Provision]		advance expn	
proposed dividend	xxx	[Miscellaneous expn]	
provision for tax	xxx	preliminary expn	
provision for fund	xxx	Unraising commission	
pension fund / other fund	xxx	Dis on share	
		Dis on Debenture	

Current liabilities		Profit & Loss A/c	
To, Creditors, Bills payable	xxx	PL App. A/c - (Dr) (B/d)	
To, A/c payable	xxx		xxx
To, Bank overdraft	xxx		
To, o/s exp ⁿ	xxx		
To, advance income	xxx		
To, unclm dividend			
	XXXXX		XXXXX

Adjusted entries



Int on Debenure

If given in T/B
Dr side of PL & A/C

If given in Adj
Dr side of PL & A/C
Liabilities of BLS

Interest on Investment

If given in TB
Cr. side of PL & A/C

If given in Adj
Cr. side of PL & A/C
Assets side of BLS

provision for bad debt Bad debt

If given in T/B
Dr. side of PL & A/C

If given in Adj
Dr side of PL & A/C
less from debtor in BLS

provision for tax

If given in TB
liabilities of BLS

If given in Adj
Dr side of PL & A/C
liabilities of BLS

proposed dividend

If given in TB
liabilities of BLS

If given in Adj
Dr side of PL & A/C
liabilities of BLS

Goods Lost

If given in T/B
Cr side of trading A/C

If given in Adj
Cr side of trading A/C
- liabilities of BLS

GLS expⁿ

If given in T/B
Liabilities of B/S

If given in Adj
Dr side of ^{add} related expⁿ
Liabilities of B/S

Advance/prepaid expⁿ

If given in T/B
assets side of B/S

If given in Adj
Dr side of ^{add} related expⁿ
assets side of B/S

GLS income

If given in T/B
assets side of B/S

If given in Adj
Cr side of ^{add} related ^{income}
assets side of B/S

Advance/prepaid income

If given in T/B
Liabilities of B/S

If given in Adj
Cr side of ^{add} related ^{income}
Liabilities of B/S

----- Company
 multi-step Income Statement
 as on -----

Particulars	Amt	Amt
Sales		xxxxx
less: sales Return / Return Inward	xxx	
less: Discount on sales	xxx	(xxx)
Net sales		xxxxx
less: cost of goods sold		
opening stock	xxx	
purchase xxx		
less: purchase return / return outward (xxx)	xxx	
Carriage inward	xxx	
Wages xxx		
add: o/s wages xxx		
less: prepaid wages (xxx)	xxx	
All direct expn	xxx	
less: closing stock	(xxx)	(xxx)
Cross profit		xxxx
Less: operating expn		
Office & administrative expn		
Salary / Rent / Rates	xxx	
Office lighting & heating & supply expn	xxx	
Depn on fixed assets / Insurance	xxx	
Printing & stationery / utilities / Repair	xxx	
Other office related expn	xxx	
Total office & administrative expn (A)	xxx	

Selling & distribution expⁿ

Advertisement / marketing / warehouse exp ⁿ	xxx	
salary and wages of sales man	xxx	
depr ⁿ of delivery vehicles / Van	xxx	
Carriage outward	xxx	
other selling exp ⁿ	xxx	
Total selling & distribution exp ⁿ	xxxx	(xxxx)
Income from operation		xxxx
add: other revenue / gain / income	xxx	
Int on investment / Int on Revenue	xxx	
Div received / Commission / miscellaneous income	xxx	
gain on sales of assets	xxx	
other income	xxx	xxxx
Less: other exp ⁿ		
Int on loan / debenture	xxx	
Loss on sale of assets	xxx	(xxx)
Income Before tax (EBT)		xxx
less: Income tax / provision for tax		(xxx)
Net Income (NI) (EAT)		xxx

----- Company
Retain Earning Statement
 as on -----

Particulars	Amnt	Amnt
opening Retain Earning (T/B)	xxx	
Net Income (Income Statement) EAT	xxx	xxx
Total profit available for distribution		xxx
loss: distribution		
dividend paid (from T/B)	xxx	
proposed dividend (from Adj)	xxx	
Transfer to general reserve (from Adj)	xxx	(xxx)
Closing Retain Earning		xxx

→ Balance Sheet में आएगा।

यदि Question में Retain Earning, dividend paid, proposed dividend, transfer to general reserve दिये हैं तो हमें Retain Earning Statement बनाइए और यह दो point हमें Question में बताने हैं कि Retain Earning Statement बनाइए कि।

- Retain Earning लार् T/B में P/L A/c, P/L App a/c में होने के हवाले।

Company
Balance Sheet
as on - - - - -

Assets	Amt	Amt
<u>Current assets</u>		
Bank / cash / prepaid expn / ^{as} accrued income	xxx	
notes receivable / debtor / inventory / stock	xxx	
closing stock / receivable	xxx	
other current assets	xxx	
Total current assets	xxx	xxx
<u>Investment</u>		
notes receivable (long term)		
marketable securities		
Investment of Revenue		
<u>Tangible Fixed assets</u>		
Building / plant / machinery / furnitures	xxx	
land / fixtures / vehicle / eq pment	xxx	
other fixed assets	xxx	
Total tangible assets		xxx
<u>Intangible and Fictitious Assets</u>		
Goodwill / Patent / trademark / copyright	xxx	
underwriting commission / preliminary expn	xxx	
Dis on share / Dis on Debenture	xxx	
Total Intangible & Fictitious Assets		xxx
P/L Loss A/c		xxx
Total Assets		xxxx

Liabilities & Share holder equity

Current liabilities & provision

A/C payable / acc expn / due expn	xxx	
unpaid income / income tax payable	xxx	
Interest payable / Bank overdraft / Short Bank loan	xxx	
Advance Income / notes payable / creditors	xxx	
Total Liab. and Share holder equity	xxx	xxx

Long term debts

notes payable (Long term)	xxx	
Bond / debenture / mortgage loan / secured loan	xxx	
Total Long term debt		xxx

Contributed Capital

Pre-stock / capital / common stock / pref. share	xxx	
Share premium / Debenture premium	xxx	
Retain Earning		
Total contributed Capital		xxx
Retain Earning		xxx
Total Liabilities & Share holder equity		xxxx

WORK SHEET as on - - -

S.N.	Particulars	Unadjusted T/B		Adjustments		Adjusted T/B		Income Statement		R/E		B/Ls	
		Dr.	Cr.	Dr.	Cr.	Dr.	Cr.	Dr.	Cr.	Dr.	Cr.	Dr.	Cr.
	Dr point	xx		• (if)	• (if)	xxx							
	Cr point		xx	• (if)	• (if)		xxx						
	<u>Adjustment</u>												
				• (if)	• (if)								
	Closing/proposed Net profit			• (if)	• (if)	xxx	xxx	xxx	xxx				
	R/E							xxx		xxx			
		xxx	xxx	xxx	xxx	xxx	xxx	xxx	xxx	xxx	xxx	xxx	xxx

ADJ
Note

- Dr side હારી વધારતે Dr સીડે મા લેવો.
- Cr side વધારતે Cr સીડે મા લેવો.
- Adjusted T/B મા ^{unadj} Dr & ^{Adj} Cr હોય તો Adjusted મા જોડે લેવો.
unadj Dr & Adj Cr હોય તો ઘટાડા લેવો. વ્યવસ્થિત Cr & Cr હોય તો
જોડે લેવો તથા ઘટાડા લેવો.
- proposed dividend, Closing stock - હોવામાં લેવો.
- bad debt, Depreciation Fixed assets Adjustment જે Dr side
ર related point માં હોય છે.
- ^{accrued} ^{GL} ^{expn} Adjustment Cr side ર related point માં Adjusted Dr side
- ^{accrued} ^{GL} ^{income} Adjustment Dr side ર related point માં Cr side Adj.
- prepaid/Advance/unpaid ^{adj} expn Dr side ર related point માં Cr side Adj.
- prepaid/Advance/unpaid ^{Adj} income Cr side ર related point માં Dr side Adj.

Note:- Adjustments Journal entries

- work sheet को DR में स्टॉक Debit & CR में स्टॉक Credit (अंश)
- proposed dividend / Reserve fund : P/L A/c or
to proposed dividend A/c
(Being proposed dividend adjusted)
- closing stock : Income statement A/c or
to closing stock A/c
(Being closing stock adjusted)
- other all entries: debit point A/c or
to credit point A/c
(Being (related point) adjusted)
(अंश में अंश)

Store ledger A/c

Under Lifo / Fifo / Wtcc method.

Date	particulars	Receipts			Issued			Balance		
		Qty	rate	amt	Qty	rate	amt	Qty	rate	amt
	Balance Bld (opening stock)									
	purchase									
	Return from									
	Return to store									
	stock verification surplus									
	Issued (sales)									
	Return to (अंश में अंश)									
	stock verification loss									
	Closing stock									

Inventory management

i) Re-order level (ROL) = $\text{max cons} \times \text{max leadtime}$

ii) minimum stock level (MSL) = $\text{ROL} - (\text{Normal cons} \times \text{Normal LT})$

iii) Re-order quantity (ROQ) = $\text{max stock} - \text{ROL} - (\text{min cons} \times \text{min LT})$

iv) maximum stock level (MSL) = $\text{ROL} + \text{ROQ} - (\text{min cons} \times \text{min LT})$

v) Economic order quantity (EOQ) = $\sqrt{\frac{2AO}{C}}$

vi) No of order = $\frac{A}{\text{EOQ}}$

Where,

A = Annual requirement / sales / purchase

O = order cost per order

C = carrying cost per order

Normal cons = $\frac{\text{max cons} + \text{min cons}}{2}$

Normal LT = $\frac{\text{max LT} + \text{min LT}}{2}$

Account for labour

(Time rate system)

$$\text{Total wages} = \text{Time taken} \times \text{Wage rate per hour}$$

(Unit piece rate system)

$$\text{Total wages} = \text{production unit} \times \text{Wage rate per unit / Piece rate per unit}$$

where,

$$\text{Piece rate per unit} \rightarrow \text{Wage rate per unit} = \frac{\text{Hourly wages}}{\text{Hourly production}}$$

Ratio analysis

1) Liquidity ratio

$$\textcircled{a} \text{ current ratio (CR)} = \frac{\text{Current asset (CA)}}{\text{Current liabilities (CL)}}$$

where,

→ CA = Debtor + A/c Receivable + Bills Recd. + Investment + prepaid expn + inventory + closing stock + cash at hand + cash at Bank

→ CL = Creditors + Bills payable + A/c payable, short term loan + Bank overdraft + Provision for tax + proposed dividend + SLS expn + Advance/prepaid income

CA = (CA + Investment) Column of BS

CL = (CL + Reserve surplus + Provision + unsecured loan) at

$$\textcircled{b} \text{ Quick / Acid test / Liquid ratio} = \frac{\text{Quick / Acid test / Liquid}}{\text{C.L.}}$$

$$\text{Quick} = \text{C.A.} - \text{Inventory} - \text{prepaid expn}$$

$$\text{or, Quick} = \text{C.A.} - \text{Q.A.}$$

2.) Leverage Ratio

$$\textcircled{a} \text{ Debt equity ratio} = \frac{\text{Long term debt}}{\text{Share holder equity}}$$

where,

→ Long term debt = secured loan + Debenture + Loan + Bank loan + other long term loan

→ Share holder equity = Share Capital + Reserve + surplus + Miscellaneous expn of assets point.

$$\textcircled{1} \text{ debt to total Capital Ratio} = \frac{\text{Long term debt}}{\text{total Capital}}$$

where Total Capital = Long term debt + Share holder equity

3. Activities turnover ratio

$$\textcircled{a} \text{ Inventory turnover ratio} = \frac{\text{Cost of goods sold}}{\text{Average Inventory}} \text{ or, } \frac{\text{sales}}{\text{closing stock}}$$

$$\text{Cost of goods sold} = \text{Sales} - \text{Gross profit}$$

$$\text{Average Inventory} = \frac{\text{opening} + \text{closing}}{2}$$

$$\textcircled{b} \text{ Debtor turnover ratio} = \frac{\text{credit sales}}{\text{Averaged debtor}} \text{ or } \frac{\text{sales}}{\text{debtor}}$$

$$\textcircled{c} \text{ Fixed assets turnover ratio} = \frac{\text{sales}}{\text{Fixed assets}}$$

$$\textcircled{2} \text{ Total assets turnover ratio} = \frac{\text{sales}}{\text{Total Assets}}$$

$$T.A = \text{current Assets} + \text{Fixed assets.}$$

$$\textcircled{d} \text{ Capital employed turnover ratio} = \frac{\text{Sales}}{\text{Capital Employed}}$$

where, Capital employed = Long term debt + Share holder equity

$$\textcircled{f} \text{ Average collection period / day sales of (DSO)} = \frac{365 \times \text{debtor}}{\text{sales}}$$

④ Profitability ratio:

$$\text{① Gross profit margin} = \frac{\text{Gross profit}}{\text{Sales}} \times 100$$

$$\text{② Net profit margin} = \frac{\text{Net profit}}{\text{Sales}} \times 100$$

$$\text{③ Return on assets (ROA)} = \frac{\text{Net profit After tax}}{\text{Total assets}} \times 100$$

$$\text{④ Return on Share holder equity (ROE)} = \frac{\text{Net profit After tax} - \text{P.D.}}{\text{Share holder equity}}$$

$$\text{⑤ Earning per share (E.p.s)} = \frac{\text{Net profit After tax} - \text{P.D.}}{\text{No. of share of S}}$$

$$\text{or, } \frac{(\text{EBIT} - I) - (1 - t) - \text{P.D.}}{\text{No of equity share}}$$